

The complaint

Mrs E is unhappy that Lloyds Bank General Insurance Limited (Lloyds) declined her claim for water damage.

What happened

Mrs E had buildings and contents insurance, excluding accidental damage, with Lloyds.

The skylight in her loft was leaking and Mrs E paid a builder to replace it. The leak was due to the skylight being old and Mrs E didn't claim for the cost of replacing it. She saw that the leak had damaged her wallpaper and ceiling, so she called Lloyds to make a claim.

Mrs E told Lloyds that the damage had happened during a bad spell of weather a couple of months before. Lloyds checked weather reports for the area, but it didn't see any evidence of a storm. It declined the claim, which Mrs E accepted at the time.

Mrs E made a complaint to Lloyds because she hadn't claimed for storm damage, yet it had declined her claim as if she had. Lloyds explained that because her policy didn't include accidental damage, it could only consider a claim for storm damage. It declined Mrs E's claim but offered to reconsider it if she provided a builder's report explaining the cause of the damage.

Mrs E remained unhappy with Lloyds' response.

Our investigator didn't uphold the complaint. He thought it was right that Lloyds had considered storm damage because Mrs E's policy would've covered that. But, as she confirmed the damage wasn't caused by a one-off incident of bad weather, he agreed with Lloyds that the damage wasn't covered.

Mrs E didn't agree, and she asked for a further review.

The complaint was passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Although I realise Mrs E will be disappointed, I've decided not to uphold the complaint. I'll explain why.

I've listened to the call that Mrs E first made to Lloyds and it's clear to me that she wasn't making a claim for storm damage. She described the damage as something which had happened over the last couple of months because of the leaking skylight. She also confirmed that the skylight leaked because it was old and needed replacing. Mrs E paid to

replace the skylight and she hasn't asked Lloyds to cover that cost. I believe that's because she's fully aware it was a maintenance need, and insurance doesn't cover the cost of maintaining a property.

However, as I understand it, Mrs E does think Lloyds should cover the cost of the additional damage, caused by the water which had leaked through the skylight causing her ceiling plaster to fall away and damage her blind and wallpaper.

So, I've looked at why Lloyds declined Mrs E's claim based on whether there were storm conditions and I think it's because it was the only insurable event that might've covered the damage. Mrs E said the damage to her ceiling, blind and wallpaper was a one-off incident. I can understand why she might think that – the damage appeared to her as a one-off incident because it became apparent suddenly. But the damage was *caused* over a longer period of time, and I know Mrs E is aware of that because it's how she described events to Lloyds.

Lloyds looked at whether there was a storm because it might've been able to consider the claim. But there wasn't any record of storm conditions in the months leading up to Mrs E's claim.

I've also considered the General Exclusions in Mrs E's policy, which states:

"Uninsurable causes

Any loss or damage caused by:

A gradually operating cause. This is something that happens gradually over a period of time."

So, having looked at what Lloyds told Mrs E – that damage which happened gradually isn't covered - I'm satisfied that it responded to her claim fairly.

I've gone on to look at whether Lloyds should've considered Mrs E's claim under another part of her policy. But Mrs E didn't take out accidental damage cover for either buildings or contents, so it's reasonable that Lloyds didn't consider her claim other than for storm damage. Even if Mrs E had included accidental damage, it's likely that Lloyds would still have declined her claim.

The policy states:

"Buildings - optional accidental damage cover

What we don't cover

Loss or damage caused by water entering your home other than by storm or flood."

We've established that there wasn't a storm.

In summary, Mrs E was only covered for storm damage. Neither she nor Lloyds think there was a single storm or other incident which caused the damage to the ceiling, blind and wallpaper, so it was fair for Lloyds to decline her claim.

Lloyds has said it will consider her claim again if Mrs E provides it with a builder's report detailing the cause of the damage. I think that's a fair offer.

My final decision

For the reasons given above, my final decision is that I don't uphold the complaint. Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs E to accept or

reject my decision before 11 September 2020.

Debra Vaughan
Ombudsman